

Multiple Choice

1. **Answer:** B

Options: A) MP intersects AP at the minimum of MP.; B) AP rises when MP is above it and falls when MP is below it.; C) MP is always higher than AP regardless of the level of labor.; D) AP and MP are inversely related to each other.; E) AP falls when MP is above it and rises when MP is below it.

Note: Correct option: B - AP rises when MP is above it and falls when MP is below it.

2. **Answer:** D

Options: A) a decrease in the money supply.; B) an increase in consumer confidence.; C) a sudden surge in technological innovation.; D) a prolonged period of very bad weather.; E) a decrease in consumer confidence.

Note: Correct option: D - a prolonged period of very bad weather.

3. **Answer:** B

Options: A) Interest rates decrease to stimulate economic growth; B) Interest rates become discounted by the anticipated rate of inflation; C) Inflation has no relation to interest rates; D) Interest rates fluctuate randomly regardless of inflation; E) Central banks have less control over interest rates

Note: Correct option: B - Interest rates become discounted by the anticipated rate of inflation

4. **Answer:** B

Options: A) occurs when interest rates fall due to government borrowing.; B) occurs when consumers and firms spend less offsetting expansionary fiscal policy.; C) occurs when the government reduces its spending in response to inflation.; D) is a consequence of contractionary fiscal policy.; E) is one reason fiscal policy is so effective.

Note: Correct option: B - occurs when consumers and firms spend less offsetting expansionary fiscal policy.

5. **Answer:** A

Options: A) Real interest rate decreases by 2%; B) Real interest rate more than doubles; C) Real interest rate decreases; D) Real interest rate increases; E) Real interest rate is halved

Note: Correct option: A - Real interest rate decreases by 2%

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Business firms expect lower sales in the future.'

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'demand for beef is price elastic and consumer spending on beef is falling.'

Long Form Response

11. **Answer:** Postponability and monopoly power. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** If inflation is high in the EU and the price level in the United States is stable the value of the dollar appreciates.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key